

Lesson 9 — Assortment Planning

How a fashion retailer decides exactly what products, options, colours, sizes and depths to offer

What is Assortment Planning?

Assortment planning is the process of deciding the breadth and depth of a product range. Breadth means how many different options or styles are offered. Depth means how much inventory is committed to each option.

Think of a restaurant menu. A menu with too few choices may miss customer needs; a menu with too many choices can make inventory and operations harder to manage. Fashion assortment planning balances choice with productivity.

The assortment pyramid

Category → Sub-category → Style / Option → Colour → Size → Depth

1. Category mix

Start with the planned role of each category. For example, a menswear business may allocate its sales plan across shirts, polos, T-shirts, trousers and denim. The mix should connect with the sales and merchandise plan.

2. Breadth — number of options

Breadth is the number of distinct options offered. More options can create customer choice, but each additional option also requires design, inventory and working capital.

3. Depth — quantity per option

Depth is the inventory quantity assigned to each option. High-demand core products may receive more depth than highly seasonal or experimental options. Actual depth should be based on demand, lead time and business strategy.

4. Colour and size mix

The planner can create colour and size curves using historical sales, customer demand and the intended positioning of the product. A size curve is the planned percentage split of units across sizes.

5. Price-point architecture

Assortment should cover the intended price ladder. The planner can map entry, core and premium price points while checking whether each price point has enough product and expected demand.

6. Core vs fashion assortment

Core products are designed for continuity and repeat demand. Fashion products may have shorter lives and greater trend risk. The mix between them affects replenishment, risk and inventory exit.

Illustrative assortment

Category	Options	Planned Units	Units / Option	Role
Shirts	20	4,000	200	Core + fashion

Polos	12	3,000	250	Core
T-shirts	15	3,000	200	Core + fashion
Denim	8	1,600	200	Core

Practical exercise

Use the Excel workbook to build an assortment for 10 products. Enter category, sub-category, product option, role, colour, size, planned options, units and price. Review units per option and identify where the assortment may be too broad or too deep for the intended sales plan.

Key takeaway

Assortment planning connects customer choice with inventory productivity. The objective is not simply to offer more products; it is to offer the right breadth and depth for the planned demand.